ARABIAN FOOD INDUSTRIES COMPANY
(DOMTY) - S.A.E
INTERIM CONSOLIDATED FINANCIAL STATEMENTS
FOR THE THREE-MONTHS AND NINE-MONTH PERIODS
ENDED 30 SEPTEMBER 2023 TOGETHER WITH AUDITORS
REVIEW AUDITORS' REPORT

Interim Consolidated financial statements
For the three months and nine months ended 30 September 2023

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Translation of Auditors' report
Originally issued in Arabic

Nabil &Samaha& Partners
Public Accountants & Consultants

Allied for Accounting & Auditing - EY
Public Accountants & Consultants

INDEPENDENT AUDITOR'S REVIEW REPORT
TO THE BOARD OF DIRECTORS OF ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) S.A.E
ON THE REVIEW OF INTERIM CONSOLIDATED FINANCIAL STATEMENTS

Introduction

We have reviewed the accompanying interim consolidated financial statements of **Arabian Food Industries Company (Domty) – S.A.E (the "Company" or the "Parent Company") and its subsidiary ("The Group")**, represented in the consolidated statement of financial position as at 30 September 2023 and the related interim consolidated statements of profit or loss, comprehensive income for the three-month and nine-month periods then ended, and related interim consolidated changes in equity and interim cash flows for the nine-month period then ended, and a summary of significant accounting policies and other explanatory notes. Management is responsible for the preparation and fair presentation of these consolidated interim financial statements in accordance with Egyptian Accounting Standards. Our responsibility is to express a conclusion on these interim financial statements based on our review.

Scope of Review

We conducted our review in accordance with the Egyptian Standard on Review Engagements No. 2410, "Review of Interim Financial Statements Performed by the Independent Auditors of the Entity." A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Egyptian Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on these interim financial statements.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim consolidated financial statements are not in accordance with Egyptian Accounting Standard No. (30), "Interim Financial Statements".

Auditors

Nabil Ahmed Abdel Meguid PhD, CPA
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Cairo: 13 November 2023

Arabian Food Industries Company (Domty) – S.A.E

INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 30 September 2023

	Note	*30 September 2023* *LE*	*31 December 2022* *LE*
Non-current assets			
Property, plant and equipment	(3)	**725,908,951**	693,270,370
Projects under construction	(4)	**100,624,381**	102,537,315
Investment in associates	(5)	**4,155,415**	4,018,553
Total non-current assets		**830,688,747**	799,826,238
Current assets			
Inventories	(6)	**687,384,207**	572,087,082
Accounts and notes receivable	(7)	**988,549,365**	591,657,820
Prepayments and other debit balances	(8)	**342,747,391**	262,894,317
Financial Investment at amortized cost - Treasury bills	(9)	**99,956,266**	432,491,851
Cash on hand and at banks	(10)	**542,998,898**	440,158,488
Total current assets		**2,661,636,127**	2,299,289,558
Total assets		**3,492,324,874**	3,099,115,796
Equity			
Issued and paid-up capital	(16)	**56,521,739**	56,521,739
Legal reserve		**28,260,870**	28,260,870
Special reserve (Share premium)	(16)	**283,422,423**	283,422,423
Other reserve		**170,196**	170,196
Retained earnings	(17)	**887,548,705**	735,481,971
Revaluation surplus	(34)	**19,734,105**	25,045,008
Merger reserve	(26)	**(4,503,358)**	(4,503,358)
Equity attributable to equity holders of the parent		**1,271,154,680**	1,124,398,849
Non-Controlling interest		**8,289**	9,438
Total equity		**1,271,162,969**	1,124,408,287
Non-current liabilities			
Term loans – non-current portion	(15)	**157,024,215**	130,598,717
Lease liabilities – non-current portion	(29)	**24,816,444**	31,921,473
Long term notes payable		**12,910**	10,337
Deferred tax liabilities	(19)	**24,351,430**	34,768,351
Total non-current liabilities		**206,204,999**	197,298,878
Current liabilities			
Short term credit facilities	(12)	**1,306,364,225**	1,247,679,118
Term loans - current portion	(15)	**42,017,604**	28,529,643
Lease liabilities – current portion	(29)	**12,303,481**	11,850,672
Trade and notes payable	(13)	**264,086,358**	229,886,487
Machines installments – current portion	(18)	**-**	2,106,060
Provisions of expected claims	(11)	**40,905,965**	22,193,416
Accrued expenses and other credit balances	(14)	**228,865,203**	138,201,762
Income tax payable	(19)	**120,414,070**	96,961,473
Total current liabilities		**2,014,956,906**	1,777,408,631
Total Liabilities		**2,221,161,905**	1,974,707,509
Total equity and liabilities		**3,492,324,874**	3,099,115,796

Finance Managing Director
Mr. Mohamed Abdelbaky Abdelrahman

Chairman
Eng. Omar Mohamed El Domaty

- The accompanying notes from (1) to (35) are an integral part of these interim consolidated financial statements.
- Review Report attached.

Arabian Food Industries Company (Domty) – S.A.E

INTERIM CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the three months and nine months ended 30 Separate 2023

	Note	*From 1/7/2023 To 30/9/3023*	*From 1/7/2022 To 30/9/2022*	*From 1/1/2023 To 30/9/3023*	*From 1/1/2022 To 30/9/2022*
		LE	LE	LE	LE
Sales	(30)	**2,001,158,654**	1,318,784,913	**5,321,943,359**	3,592,391,755
Cost of sales	(30)	**(1,566,517,610)**	(1,017,755,998)	**(4,022,489,064)**	(2,738,162,414)
GROSS PROFIT		434,641,044	301,028,915	1,299,454,295	854,229,341
Selling and marketing expenses	(20)	**(232,013,315)**	(188,616,472)	**(671,915,834)**	(531,330,239)
General and administrative expenses	(21)	**(19,045,300)**	(31,857,534)	**(55,752,060)**	(66,755,935)
Net other operating income	(22)	**32,176,669**	17,912,900	**80,133,616**	44,199,746
Provision no longer required	(9)	**4,408,862**	-	**5,695,732**	-
Company shares from the result of subsidiary	(5)	**-**	-	**136,862**	-
Other provisions	(11)	**(13,611,304)**	(652,700)	**(25,309,767)**	(1,718,100)
OPERATING PROFIT		206,556,656	97,815,109	632,442,844	298,624,813
Finance income	(23)	**11,961,354**	9,598,683	**53,567,241**	24,461,326
Finance expenses	(24)	**(77,449,097)**	(32,270,691)	**(207,813,547)**	(95,701,972)
PROFIT FOR THE PERIOD BEFORE INCOME TAXES AND MEDICAL INSURANCE CONTRIBUTION		141,068,913	75,143,101	478,196,538	227,384,167
Medical Insurance Contribution		**(5,314,781)**	(3,404,892)	**(13,904,236)**	(9,271,538)
Income tax expenses	(19)	**(33,644,503)**	(20,156,072)	**(109,997,149)**	(55,429,240)
PROFIT FOR THE PERIOD AFTER DEDUCTION OF INCOME TAXES AND MEDICAL INSURANCE		102,109,629	51,582,137	354,295,153	162,683,389
Attributable to:					
Equity holders of the Parent		**102,109,355**	51,582,025	**354,295,005**	162,682,952
Non-Controlling interest		**274**	112	**148**	437
		102,109,629	51,582,137	**354,295,153**	162,683,389
Basic and diluted earnings per share attributable to equity holders of the Parent	(27)	0.29	0.15	**1.02**	0.47

- The accompanying notes from (1) to (35) are an integral part of these interim consolidated financial statements.

Arabian Food Industries Company (Domty) – S.A.E

INTERIM CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the three months and nine months ended 30 September 2023

	From 1/7/2023 To 30/9/3023	*From 1/7/2022 To 30/9/2022*	*From 1/1/2023 To 30/9/3023*	*From 1/1/2022 To 30/9/2022*
	LE	LE	LE	LE
Profit for the period	***102,109,629***	51,582,137	354,295,153	162,683,389
Attributable to:				
Equity holders of the Parent	**102,109,355**	51,582,025	**354,295,055**	162,682,952
Non-Controlling interest	**274**	112	**148**	437
Total comprehensive income	**102,109,629**	51,582,137	**354,295,153**	162,683,389
Basic and diluted earnings per share attributable to equity holders of the Parent	**0.29**	0.15	**1.02**	0.47

-The accompanying notes from (1) to (35) are an integral part of these interim consolidated financial statements.

Arabian Food Industries Company (Domty) – S.A.E

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the period ended 30 September 2023

	Issued and paid-up capital	Legal reserve	Special reserve-share premium	Other reserves	Retained earnings	Fixed assets revaluation surplus	Merger reserve	Total	Non-Controlling interest	Total equity
	LE	LE	LE	LE	LE	LE	LE	LE	LE	LE
Balance as of 1 January 2022	56,521,739	28,260,870	283,422,423	170,196	462,285,065	32,540,057	(4,503,358)	858,696,992	9,130	858,706,122
Transferred from Fixed assets adjustment surplus to retained earnings (Third option – EAS 13) - Note (34)	-	-	-	-	5,638,894	(5,638,894)	-	-	-	-
Profit for the period	-	-	-	-	162,682,952	-	-	162,682,952	437	162,683,389
Balance as of 30 September 2022	56,521,739	28,260,870	283,422,423	170,196	630,606,911	26,901,163	(4,503,358)	1,021,379,944	9,567	1,021,389,511
Balance as of 1 January 2023	56,521,739	28,260,870	283,422,423	170,196	735,481,971	25,045,008	(4,503,358)	1,124,398,849	9,438	1,124,408,287
Transferred from Fixed assets adjustment surplus to retained earnings (Third option – EAS 13)- Note (34)	-	-	-	-	5,310,903	(5,310,903)	-	-	-	-
Dividend distribution					(185,904,304)	-		(185,904,304)		(185,904,304)
Accrued dividend	-	-	-	-	(21,634,870)	-	-	(21,634,870)	(1,297)	(21,636,167)
Profits for the period	-	-	-	-	354,295,005	-	-	354,295,005	148	354,295,153
Balance as of 30 September 2023	56,521,739	28,260,870	283,422,423	170,196	887,548,705	19,734,105	(4,503,358)	1,271,154,680	8,289	1,271,162,969

- The accompanying notes from (1) to (35) are an integral part of these interim consolidated financial statements.

Arabian Food Industries Company (Domty) – S.A.E

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS

For the period ended 30 September 2023

	Note	*From 1/1/2023 To 30/9/2023 LE*	*From 1/1/2022 To 30/9/2022 LE*
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before income taxes		**464,292,302**	218,112,629
Depreciation of property, plant and equipment	(3)	**80,183,112**	71,398,373
Interest on treasury bills	(23)	**(46,777,076)**	(24,461,326)
Accrued withholding tax on treasury bills interest	(9)	**68,622**	298,100
Adjustment on accrued withholding tax on treasury bills interest		**(3,096,544)**	(3,548,877)
Interest on lease liability	(24)	**2,906,611**	3,272,623
Foreign exchange differences- loans	(15)	**5,289,489**	4,913,713
Company shares from the result of subsidiary	(5)	**(136,862)**	-
Provisions of expected claims	(11)	**25,309,767**	1,718,100
Impairment of accounts and notes receivable	(7)	**16,650,555**	36,866,154
Impairment of prepayments and other debit balances	(8)	**1,563,392**	2,829,238
Provisions no longer required	(9)	**(5,695,732)**	(48,125)
Provision used	(11)	**(2,633,712)**	(1,201,676)
Gain from sale of property, plant and equipment	(3)	**(1,471,296)**	(261,686)
Gain from disposal of right use of assets		**-**	(86,165)
		536,452,628	309,801,075
Change in inventories		**(115,297,125)**	(242,828,523)
Change in accounts and notes receivable		**(413,542,100)**	(166,139,536)
Change in prepayments and other debit balances		**(107,571,026)**	(77,723,595)
Change in trade and notes payable		**33,319,430**	(51,118,960)
Change in accrued expenses and other credit balances		**69,027,274**	51,499,659
CASH FLOWS PROVIDED FROM (USED IN) OPERATING ACTIVITIES		**2,389,081**	(176,509,880)
Income tax paid		**(71,098,557)**	(23,862,021)
Income tax deducted from collected treasury bills interest		**(12,383,337)**	(8,143,042)
NET CASH FLOWS (USED IN) OPERATING ACTIVITIES		**(81,092,813)**	(208,514,943)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	(3)	**(49,477,895)**	(19,370,541)
Proceeds from sale of property, plant and equipment		**1,599,671**	555,611
Purchase of projects under construction		**(50,107,304)**	(23,485,939)
Proceeds from treasury bills interest		**61,916,687**	40,715,211
Payments to acquire treasury bills		**(424,327,191)**	(423,777,927)
Proceeds from matured treasury bills		**746,483,313**	467,809,788
NET CASH FLOWS PROVIDEDE FROM INVESTING ACTIVITIES		**286,087,281**	42,446,203
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from credit facilities		**7,066,550,371**	4,726,722,438
(Payment) of credit facilities		**(7,007,865,264)**	(4,466,565,877)
Proceeds from long term loans		**60,019,674**	39,814,608
(Payment) of long-term loan		**(25,395,704)**	(25,113,370)
(Payment) of lease interest	(29)	**(2,906,611)**	(3,272,623)
(Payment) of lease liabilities	(29)	**(6,652,220)**	(5,311,986)
(Payment) of profit distribution		**(185,904,304)**	-
NET CASH FLOWS (USED IN) FINANCING ACTIVITIES		**(102,154,058)**	266,273,190
Net increase in cash and cash equivalent during the period		**102,840,410**	100,204,450
Cash and cash equivalent - beginning of the period / year		**440,158,488**	163,942,106
CASH AND CASH EQUIVALENT – END OF THE PERIOD	(10)	**542,998,898**	264,146,556

MAJOR NON -CASH TRANSACTIONS

The cost of machinery and equipment in projects under construction includes an amount of 11,451,935 Egyptian pounds that was transferred from advance payments to fixed asset suppliers.

- The accompanying notes from (1) to (35) are an integral part of these interim consolidated financial statements.

1 REPORTING ENTITY

Arabian Food Industries Company (Domty) – S.A.E (the "Company") or (the "Parent Company") was originally established under the name of Damati Company for Food Industries as a limited liability company under contract No. 18/84 dated 14 March 1984. The contract was amended on 18 July 1988 when the Company's headquarters changed, and on 14 August 1988 an Extraordinary General Assembly meeting was held and resolved to change the company's legal form from limited liability company to joint stock company subject to the Companies Law No. 159 of 1981 and its executive regulations.

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 16 August 2005 the Company's name was changed to Domty Company for Food Industries "S.A. E"

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 6 August 2006 the company name changed to Arabian Food Industries Company (Domty) S.A.E instead of Domty Company for Food Industries and the commercial register was amended.

The Company has been registered under the commercial register number 80124 on 7 September 1988.

The company's period is 50 years starting from 7 September 1988 till 6 September 2038 and is renewable.

The Company's headquarter is located at 32 c Taha Hussein Street, previously Murad Street - Giza

Activity location:

1- The Second Industrial Zone, Plot No. 12, 6th of October City.
2- Northern Expansion Zone (CPC) - 6th of October City, plot numbers (43-44-45-46-63-64-65-66).

The Board of Directors may decide to establish branches or agencies for the company in Egypt or abroad, except in Sinai Peninsula region. The authority's required a prior approval to open branches there. In case the management decide to change the headquarter to another governorate, the decision will require to held an extraordinary general assembly.

The main activities undertaken by the Company is to manufacture all types of dairy and food products, and reclamation and cultivation, establishment of feed factories, dairy farms, cow breeding and all food industries. The company may have an interest or participate in any way with the parties that carry out similar work to its work or that cooperate with it in achieving its purpose, in Egypt or abroad. For third parties, local and foreign companies and commercial agencies in the field of food industries.

The Company has the right to participate with other companies have been operating in similar industry and seek for the assistance of foreign expertise in the fields of previous activity obtaining the right to "know-how" from foreign companies with similar activity. The company has the right to import all the necessary productions requirements for the operation and export all its products to global markets. The company may have an interest or participate In any way, with other entities that practice work similar field or that may help it achieve its purpose in Egypt or abroad.

The interim consolidated financial statements comprise the financial statements of Domty and its subsidiary, El Tatweer Food Industries Company (S.A.E)

On 30 April 2014 the Company acquired 99.99% of the shares of El Tatweer Food Industries Company (S.A.E) (Note 2). The interim consolidated financial statements comprise the financial statements of Domty and its subsidiary, El Tatweer Food Industries Company (S.A.E)

EL Tatweer Food Industries Company was established as a joint stock company subject to the Companies Law No. 8 of 1997 and its regulations and for the purpose of establishing and operating a factory for the manufacture of different kinds of cheese, canning juice and the establishing of stores and a refrigerator for dairy products by cooling and freezing for the Company and for others, subject to the laws and its regulations.

The Company is registered under the commercial register number 37566 in the 11 March 2009.

The interim consolidated financial statements of the Company for the period ended 30 September 2023 were authorized for issuance in accordance with a resolution of the board of directors on 13 November 2023

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The interim consolidated financial statements have been prepared under the going concern assumption on a historical cost basis.

The interim consolidated financial statements are prepared and presented in Egyptian pounds, which is the company's functional currency.

On 30 April 2014, the Company acquired 99.99% El Tatweer for Food Industries Company (S.A.E) that was previously under the control of the shareholders of the Parent (the "Common Control Transaction") for LE 10,752,733 in cash. As this transaction involved the combination of businesses under common control, the pooling of interests method of accounting was applied in the presentation of the consolidated financial statements for the year ended 31 December 2012, 2013 and 2014 which present the results of the Group as if El Tatweer for Food Industries Company (S.A.E) had always been part of the Group. Accordingly, the assets and liabilities transferred to the Company were recognized at historical amounts. The consolidated financial statements present the results and changes in equity of the Company and its subsidiary as if the Group had been in existence throughout the years presented. On 24 May 2022 the Arab Food Industries Company "Domty" increase the investment in El Tatweer for Food Industries Company by EGP 3,750,000 and this amount represents the value of completing the capital increase of the El Tatweer for Food Industries Company.

Statement of compliance

The interim consolidated financial statements of the Group have been prepared in accordance with the Egyptian Accounting Standards and the applicable laws and regulations.

The accounting policies applied this year are consistent with those applied in the previous year.

Basis of consolidation

(a) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

Accounting for business combination under EAS 29 only applies if it is considered that a business has been acquired. For acquisitions meeting the definition of a business, the purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any Non-Controlling interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the statement of income.

Inter-company transactions, balances and unrealized gains on transactions between Group companies are eliminated. Unrealized losses are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(b) Transactions with Non-Controlling interests

The Group applies a policy of treating transactions with non-Controlling interests as transactions with equity owners of the Group.
For purchases from non-Controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of the net assets of the subsidiary is recorded in equity. Gains or losses on disposals to Non- Controlling interests are also recorded in equity.

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of these Consolidated financial statements requires management to make judgments and estimates that affect the reported amounts of revenues, expenses, assets and liabilities, the accompanying disclosures and the disclosure of contingent liabilities at the reporting date. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the assets or liabilities affected in future periods.

Estimates and their underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised.

The key judgements and estimates that have a significant impact on the Consolidated financial statement of the Company are discussed below:

2-2-1 Judgments

Revenue recognition for sale of goods

In making their judgment, management considered the detailed criteria for the recognition of revenue from the sale of goods as set out in" EAS 48 Revenue", and, in particular, whether the significant risks and rewards of ownership of the goods have passed to the buyer.

2-2-2 Estimates

Impairment of trade and other receivables

An estimate of the collectible amount of trade and other receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimate is performed on an individual basis. Amounts which are not individually significant, but are past due, are assessed collectively and a provision is applied according to the length of time past due, based on historical recovery rates.

Useful lives of fixed assets

The Company's management determines the estimated useful lives of its fixed assets for calculating depreciation. This estimate is determined after considering the expected usage of the asset or physical wear and tear. The management periodically reviews the estimated useful lives and the depreciation method to ensure that the method and the period of depreciation are consistent with the expected pattern of economic benefits from these assets. Accordingly, the useful life of the Machines (Bakery line) has been changed from10 years to 15 years and this specifically for the Mechanical parts of the Machine (Bakery line).

Taxes

The Company is subject to income taxes in Egypt. Significant judgment is required to determine the total provision for current and deferred taxes. The Company establishes provision, based on reasonable estimates, for possible consequences of audits by the tax authorities in Egypt. The amount of such provision is based on various factors, such as experience of previous tax audits and different interpretations of tax regulations by the Company and the responsible tax authority. Such differences of interpretations may be on a wide variety of issues depending on the conditions prevailing in Egypt.

Deferred tax assets are recognised for unused accumulated tax losses to the extent that it is probable that taxable profits will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets

The Company assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. The non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable. When value in use calculations are undertaken, management estimates the expected future cash flows from the asset or cash-generating unit and chooses a suitable discount rate in order to calculate the present value of those cash flows

2-3 SIGNIFICANT ACCOUNTING POLICIES

2-3-1 Foreign currency translation

Transactions in foreign currencies are initially recorded using the exchange rate prevailing on the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated using the exchange rate prevailing at the reporting date. All differences are recognized in the statement of income.

Nonmonetary assets and liabilities that are measured at historical cost in foreign currency are translated using the exchange rates prevailing at the dates of the initial recognition.

2-3-2 Financial Instruments

Egyptian Accounting Standard 47 "Financial Instruments" which replaced the Egyptian Accounting Standard 26 Financial Instruments: Recognition and Measurement. Egyptian Accounting Standard 47 was issued in 2019 and the standard began to be applied on or after 1 January 2021 in Egypt. Except for hedge accounting, retrospective application is required, but adjustment of comparative information is not mandatory.

The standard deals with three aspects of the accounting for financial instruments: classification and measurement; impairment; and hedge accounting.

Classification and measurement
Under EAS 47, debt instruments are subsequently measured at fair value through profit or loss, amortized cost, or fair value through OCI. The classification is based on two criteria: The Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding.

The assessment of the Company's business model was made as of the date of initial application and the assessment of whether contractual cash flows on debt instruments are solely comprised of principal and interest was made based on the facts and circumstances as at the initial recognition of the assets.

Impairment
The new impairment model according to EAS 47 requires the recognition of impairment provisions based on expected credit losses rather than only incurred credit losses as is the case under EAS 26. It applies to financial assets classified at amortized cost, debt instruments measured at fair value through other comprehensive income, contract assets under EAS 48 Revenue from Contracts with Customers, lease receivables, loan commitments and certain financial guarantee contracts.

Financial instruments – initial recognition and subsequent measurement
A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i) Financial assets
Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.
The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.
In order for a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortized cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Impairment of financial assets
The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment, that includes forward-looking information.

The Company consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash.

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

ii) Financial liabilities

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2-3-3 Lease Contracts

- EAS 49 replaces EAS 20 "Accounting for finance Leases". EAS 49.
- ESA 49 Requires lessees to recognize a lease liability reflecting future lease payments and a 'right-of-use asset' for virtually all lease contracts. There is an optional exemption of certain short-term leases and leases of low-value assets.
- On 30 September 2019, the company implemented Standard No. (49) with regard to financial lease contracts that were subject to the Financial Lease Law No. 95 of 1995 and its amendments, as well as financial lease contracts that arise under and are subject to Law No. 176 of 2018, regulating financial lease and factoring activities. The impact of the implementation has been recognized at that date.
- The company has fully implemented the Egyptian Accounting Standard No. (49) "Operating Leases" using the retrospective modification method on 1 January 2021, and the effect of the application has been recognized as shown in Note (3,29)

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

- The company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.
- The company applies a single recognition and measurement policy for all leases, except for short-term leases and leases of low-value assets.
- The company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets

A- Right-of-use assets

- The company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use).
- Right-of-use assets are measured at cost, less any accumulated amortization and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.
- Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets based on the entity's applied amortization policy.
- If ownership of the leased asset transfers to the company at the end of the lease term or the cost reflects the exercise of a purchase option at the end of the contract, amortization is calculated using the estimated useful life of the asset based on the entity's applied amortization policy.
- The right-of-use assets are also subject to impairment.

B- Lease Liability

- At the commencement date, a lessee shall measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.
- At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:
  - Fixed payments, less any lease incentives receivable.
  - Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
  - Amounts expected to be payable by the lessee under residual value guarantees.
  - The exercise price of a purchase option if the lessee is reasonably certain to exercise that option.
  - Payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease.

2-3-4 Revenue from contracts with customers

- Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" requires enterprises to exercise judgment and take into account all relevant facts and circumstances when applying each step of the model to contracts with customers. The standard also specifies the method for calculating the incremental costs of obtaining a contract and the costs directly related to the performance of the contract. The standard also requires relevant disclosures.

- The new Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" sets a new five-step model, which will be applied to revenue arising from contracts with customers as follows:

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-4 Revenue from contracts with customers (cont.)

- **Step 1:** Defining the contract(s) with the customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations. It outlines the bases and criteria that must be met for each contract.
- **Step 2:** Identify the performance obligations in the contract: A performance obligation is an undertaking in the contract, a contract with the customer, to transfer a good or service to the customer.
- **Step 3:** Determine the transaction price: The transaction price is the amount of consideration that the company expects to be entitled to in exchange for transferring promised goods or services to the customer, excluding amounts collected on behalf of third parties.
- **Step 4:** Allocate the transaction price to the performance obligations stipulated in the contract. For contracts that contain more than one performance obligation, the Group will allocate the transaction price to each performance obligation at the amount to which the Group expects to be entitled in exchange for meeting each performance obligation.
- **Step 5**: Recognize revenue when the facility fulfils the performance obligation.

- **Sale of Goods**
  The company's contracts with customers involve the sale of finished goods and generally include a single performance obligation. The Company has concluded that revenue from the sale of finished goods should be recognized when control of the asset is transferred to the customer, generally when the finished goods are delivered. Therefore, the application of the standard does not have any impact on the timing of revenue recognition.

- **Variable price**
  Some contracts for the sale of finished goods give customers the right to return or discount quantities. Prior to the application of Egyptian Accounting Standard No. (48), the company recognized revenue from the sale of goods measured at the fair value of the price received or receivable, after deducting returns and trade discounts. If the revenue cannot be measured reliably, the Group defers revenue recognition until the uncertainty has passed.
  Under Egyptian Accounting Standard No. (48), the return and trade discount rights increase the variable price. The variable price is estimated at the conclusion of the contract and is credited until the relevant uncertainty clears up later. The application of restrictions on the variable price did not increase the amount of revenue to be deferred.

- **Rights of return**
  When the contract provides for giving the customer the right to return the goods within a specified period, the Group has taken in its previous estimates the expected returns using the probability-weighted average method of the amounts expected to be returned. This method is similar to the expected value method under Egyptian Accounting Standard No. (48). Before applying the Egyptian Accounting Standard No. (48).
  The amount of revenue related to the expected returns was deferred and included in the statement of financial position under the “Liability against expected sales return” item with a corresponding adjustment to the “Cost of sales” item. The carrying amount of the goods expected to be returned is included in the "Inventory".

  Under Egyptian Accounting Standard No. (48), the price received from the customer is variable because the contract allows the customer to return the products. The Group used the expected value method to estimate the goods to be returned.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-5 Property, plant and equipment

Property, plant and equipment are stated at historical cost net of accumulated depreciation and accumulated impairment losses and the difference of foreign exchange difference will be added according to EAS 13-A (the effect of change in foreign exchange). Such cost includes the cost of replacing part of the plant and equipment when that cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the statement of income as incurred.

Depreciation of an asset starts when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, and is computed using the straight-line method according to the estimated useful life of the asset as follows:

	Depreciation %
Buildings	2.5%
Machinery and equipment	6.7%-10%
Motor vehicles	10% - 20%
Tools	15%
Computers and software	20% -25%
Furniture and fixtures	10%-20%

Property, plant and equipment are derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the statement of income when the asset is derecognized.
Company has changed the useful life of some vehicles and machinery & equipment (packing- Tetrapack) items and effective from 1 January 2017 as follows:

	Before change Depreciation %	**After change Depreciation %**
Motor vehicles	20%	10%
machinery & equipment (packing- Tetrapack)	10%	8.3%

The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end.
The Company assesses at each reporting date whether there is an indication that property, plant and equipment may be impaired. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of income

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of income.

2-3-6 Projects under construction

Projects under construction represent the amounts that are incurred for the purpose of constructing or purchasing property, plant and equipment until it is ready to be used in the operation, upon which it is transferred to property, plant and equipment. Projects under construction are valued at cost less impairment if any.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-7 Investments in subsidiaries

Investments in subsidiaries are investments in entities which the Company has control. Control is presumed to exist when the parent owns, directly or indirectly through subsidiaries more than half of the voting power of the investee, unless, in exceptional circumstances, it can be clearly demonstrated that this is not the case.

Investments in subsidiaries are accounted for at cost inclusive transaction cost and in case the investment is impaired, the carrying amount is adjusted by the value of this impairment and is charged to the statement of income for each investment separately.

2-3-8 Investments in Associates

Investment in associates is investment in an entity over which the Company has a significant influence, but it is neither a subsidiary company nor a joint venture project. Significant influence exists when the company directly or indirectly owns 20% or more of the voting rights in the invested company, unless in exceptional circumstances, it can be clearly determined that such ownership does not constitute influence.

Investments in associate companies are accounted for in the consolidated financial statements using equity method accordingly, investment is initially recognized at cost, including the cost of the acquisition, and then adjusted with the change in the company's share in the net assets of the sister company during the post-acquisition period, and includes profits and losses of its share in the associate's income statement, also, the other comprehensive income of the Company is including the share in the other comprehensive income of the associate.

The book value of the investment is reduced by dividend distribution obtained from the associate company.

2-3-9 Treasury bills

In accordance with the requirements of Egyptian Accounting Standard No. (47) "Financial Instruments", treasury bills have been classified on the basis of their measurement - later - at amortized cost through profits or losses, and treasury bills that are being purchased are valued at the nominal value and the difference between the purchase cost and the nominal value is recorded as a deferred Investment return of treasury bills and It is amortized with the value of the treasury bills proceeds due " Interest" for the financial period through profits or losses until the maturity date of the treasury bills, and the tax due on the treasury bills returns is recorded, and upon collection, the discounted tax is recorded in the statement of financial position until it is settled with the annual tax return.

2-3-10 Inventories

Inventories are stated at the lower of cost and net realizable value. Costs are those expenses incurred in bringing each product to its present location and condition as follows:

a) Raw materials and Spare parts: at purchase cost on a weighted average basis.

b) Work in process: On the basis of the cost of production, the last stage that has been completed according to the lists of costs or net realizable value, whichever is less.

The cost includes direct materials, direct labor and a share of indirect industrial costs and does not include borrowing costs

C) Finished goods: at the lower of the cost of production (based on the costing sheets) or net realizable value. Cost includes direct materials, direct labor and allocated share of manufacturing overhead excluding borrowing cost

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-10 Inventories (Cont.)

The amount of any write down of inventories to net realizable value and all losses of inventories shall be recognized in cost of sales in the statement of income in the year the write down or loss occurs. The amount of any reversal of any write down of inventories, arising from an increase in net realizable value, shall be recognized as reduction of cost of sales in the statement of income in the year in which the reversal occurs.

2-3-11 Accounts receivable and other receivables

Accounts receivable and other receivables are stated at original invoice amount net of any impairment losses.

The company applies the simplified approach allowed by the Egyptian Accounting Standard No. (47) "Financial Instruments", which requires the recognition of expected credit losses on aging for customers in the statement of profits or losses.

2-3-12 Accounts and notes payable, accrued expenses and other payables

Liabilities are recognized for amounts to be paid in the future for goods or services received, whether billed by the supplier or not.

2-3-13 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. Provisions are reviewed at the financial position date and adjusted to reflect the current best estimate.
Where the effect of the time value of money is material, the amount of a provision should be the present value of the expected expenditures required to settle the obligation. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2-3-14 Social Insurance

The Company makes contributions to the Social Insurance Authority calculated as a percentage of the employees' salaries. The Company's obligations are limited to these contributions, which are expensed when due.

2-3-15 Legal reserve

According to the Company's articles of association, 5% of the net profits of the year is transferred to the legal reserve until this reserve reaches 50% of the issued capital. The reserve is used upon a decision from the general assembly meeting based on the proposal of the board of directors.

2-3-16 Borrowings

Borrowings are initially recognized at the value of the consideration received. Amounts maturing within one year are classified as current liabilities, unless the Company has the right to postpone the settlement for a year exceeding one year after the reporting date, then the loan balance should be classified as long-term liabilities.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as through the effective interest rate method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the effective interest rate. The effective interest rate amortization is included in finance cost in the statement of income.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-17 Income taxes

Income tax is calculated in accordance with the Egyptian tax law.

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted at the reporting date in Egypt.

The current income tax charge is calculated on the basis of the tax laws enacted at the reporting date in Egypt. Management yearly evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognized using the liability method on temporary differences between the amount attributed to an asset or liability for tax purposes (tax base) and its carrying amount in the balance sheet (accounting base) using the applicable tax rate.

Deferred tax asset is recognized when it is probable that the asset can be utilized to reduce future taxable profits and the asset is reduced by the portion that will not create future benefit.
Current and deferred tax shall be recognized as income or an expense and included in the statement of income for the period, except to the extent that the tax arises from a transaction or an event which is recognized, in the same or a different period, directly in equity.

2-3-18 Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received, excluding discounts, rebates to customers and sales taxes or duty. The following specific recognition criteria must also be met before revenue is recognized:

*** Sale of goods**

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue from the sale of goods is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates, if any.

*** Interest income**

Interest income is recognized as interest accrues using the effective interest method. Interest income is included in finance income in the statement of income.

*** Government grants**

Government grants that are received as compensation for expenses or losses already incurred for the purpose of giving immediate financial support to the company with no further related costs are recognized in the income statement in the year in which they become virtually certain and all attached conditions are complied with.

***Revenue from export support**

The revenue of export support is recognized as accrued revenues when the export invoice is issued.

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-19 Expenses

All expenses including operating expenses, general and administrative expenses and other expenses are recognized and charged to the statement of income in the financial year in which these expenses were incurred.

2-3-20 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that require a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the asset. Other borrowing costs are expensed in the period in which they are incurred. Borrowing costs are the interest and other costs that a company incurs to borrow money.

2-3-21 Comprehensive Medical Insurance Law

On 11 January 2018, Law No. 2 of 2018 the Comprehensive Health Insurance Law was issued, which comes into effect on the day following the expiration of six months from the date of its publication in the official publications. This law added financial burdens to employers, Employers are obliged to pay their share of the contributions of their employees at 4% per month from the wage of the insured worker and not less than LE 50 per month. The employers are obliged to pay their monthly contributions to the Social Insurance Authority.

2-3-22 Related party transactions

Related parties represent associated companies, major shareholders, directors and key management personnel of the Company, and entities controlled, jointly controlled or significantly influenced by such parties. The terms and pricing policies for transactions with related parties are determined in accordance with the concluded contracts, and the prices of inter-transactions are determined according to the prices of dealing with third parties, and all legal procedures are taken to approve those transactions.

2-3-23 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.
For assets traded in an active market, fair value is determined by reference to quoted market bid prices.

The fair value of interest-bearing items is estimated based on discounted cash flows using interest rates for items with similar terms and risk characteristics.

For unquoted assets, fair value is determined by reference to the market value of a similar asset or is based on the expected discounted cash flows.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

2-3 SIGNIFICANT ACCOUNTING POLICIES (CONT.)

2-3-23 Fair value measurement (cont)

- *Level 1 – Fair value measurements* are those derived from quoted prices in an active market (that are unadjusted) for identical assets or liabilities.
- *Level 2 – Fair value measurements* are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- *Level 3 – Fair value measurements* are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

2-3-24 Contingent Liabilities and Assets

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote.

A contingent asset is not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

2-3-25 Impairment of assets

Impairment of financial assets

The Company assesses at each balance sheet date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset and has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Impairment of non-financial assets

The Company assesses at each balance sheet date whether there is an indication that an asset may be impaired. Where the carrying amount of an asset or cash-generating unit (CGU) exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

A previously recognized impairment loss is only reversed if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss.

2-3-26 Statement of cash flows

The statement of cash flows is prepared using the indirect method.

2-3-27 Cash and cash equivalent

For the purpose of preparing the cash flow statement, the cash and cash equivalent comprise cash on hand, current accounts with banks and time deposits maturing within three months less bank overdrafts.

2-3-28 Segment Information

The main business segment of the company is the sector of production and sale of cheese products, the sector of production and sale of juice products, the sector of production and sale of baked goods products and periodic and annual financial reports on all revenues of the company are prepared on the basis of the existence of three main operating sectors and the executive management of the company monitors the operational units separately for the purpose of making decisions on the allocation of resources and performance evaluation.

Arabian Food Industries Company (Domty) – S.A.E

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
At 30 September 2023

3 PROPERTY, PLANT AND EQUIPMENT

- Fixed assets and right of use assets have been merged and listed in the statement of financial position as follows: -

	30/9/2023	31/12/2022
	LE	LE
Net book value of fixed assets	694,149,452	655,214,928
Net book value of right of use assets	31,759,499	38,055,442
	725,908,951	693,270,370

	Land	*Buildings*	*Machinery and equipment*	*Vehicles*	*Tools*	*Computers and software*	*Furniture and fixtures*	*Total*
	LE	*LE*	*LE*	*LE*	*LE*	*LE*	*LE*	*LE*
Cost								
As of 1 January, 2023	8,221,307	158,627,446	711,789,648	107,379,285	22,516,781	23,778,296	14,792,651	1,047,105,414
Cost of capitalized assets as of 1 January 2023(First option)	-	-	24,204,416	-	-	-	-	24,204,416
Cost of assets using valuation factor as of 1 January 2023 (third option)	-	-	84,943,271	44,841,551	-	-	-	129,784,822
Additions	-	15,645,621	17,830,784	9,135,697	849,683	5,620,725	395,385	49,477,895
Transferred from projects under construction		23,606,172	39,866,001	-				63,472,173
Disposals	-	-	(1,666,170)	(585,656)	-	-	-	(2,251,826)
Disposals of revalued assets (third option)	-	-	(150,722)	(52,813)	-	-	-	(203,535)
As of 30 September, 2023	8,221,307	197,879,239	876,817,228	160,718,064	23,366,464	29,399,021	15,188,036	1,311,589,359
Accumulated depreciation								
As of 1 January, 2023	-	(21,810,477)	(294,581,818)	(61,783,282)	(16,091,290)	(18,682,826)	(8,935,133)	(421,884,826)
Accumulated depreciation for capitalized assets as of 1 January 2023 (First option)	-	-	(14,556,391)	-	-	-	-	(14,556,391)
Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2023	-	-	(74,947,750)	(34,490,757)	-	-	-	(109,438,507)
Depreciation for the period	-	(3,280,032)	(51,807,647)	(7,138,159)	(1,336,622)	(2,411,555)	(873,874)	(66,847,889)
Depreciation for capitalized assets (first option)	-	-	(1,758,391)		-	-	-	(1,758,391)
Depreciation for assets using valuation factor (Third option) - note (34)	-	-	(3,244,169)	(2,036,720)	-	-	-	(5,280,889)
Disposals	-	-	1,666,170	487,295	-	595,888	6,975	2,153,465
Disposals of revalued assets (third option)	-	-	150,722	22,799	-	-	-	173,521
As of 30 September, 2023	-	(25,090,509)	(439,079,274)	(104,938,824)	(17,427,912)	(21,094,381)	(9,809,007)	(617,439,907)
Net book value as of 30 September 2023	8,221,307	172,788,730	437,737,954	55,779,240	5,938,552	8,304,640	5,379,029	694,149,452
Net book value as of 31 December 2022	8,221,307	136,816,969	436,851,376	55,946,797	6,425,491	5,095,470	5,857,518	655,214,928

- The cost of fixed assets as of 30 September 2023 includes EGP 125,289,360 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	2023 LE
Cost of sales	61,562,115
Selling and marketing expenses (note 20)	10,344,419
General and administrative expenses (note 21)	1,980,635
	73,887,169

Disposals of property, plant and equipment represent the sale of some assets as follows:

Sale of assets

	30 September 2023 LE	LE
Proceeds from sales of property, plant and equipment		1,599,671
Cost of disposed property, plant and equipment	2,455,361	
Accumulated depreciation relating to disposals	(2,326,986)	
Net book value of disposed property, plant and equipment		128,375
Gain from sale of property, plant and equipment (note 22)		1,471,296

Depreciation expense also allocated as follows:

	2023 LE
Depreciation for the period	66,847,889
Depreciation for the period (First option)	1,758,391
Depreciation for the period (Third option)	5,280,889
	73,887,169

3 RIGHT OF USE ASSETS

	Buildings	Machines and equipment	Total
	LE	LE	LE
Cost			
As of 1 January, 2023	43,719,848	13,196,762	56,916,610
Disposal	(3,224,789)	-	(3,224,789)
As of 30 September, 2023	40,495,059	13,196,762	53,691,821
Accumulated Amortization			
As of 1 January, 2023	(17,028,281)	(1,832,887)	(18,861,168)
Amortization for the period	(5,471,145)	(824,798)	(6,295,943)
Disposal	3,224,789	-	3,224,789
As of 30 September, 2023	(19,274,637)	(2,657,685)	(21,932,322)
Net Book Value as of 30 September 2023	21,220,422	10,539,077	31,759,499
Net Book Value as of 31 December 2022	26,691,567	11,363,875	38,055,442

- Amortization expense also allocated as follows: -

	2023
	LE
Cost of sales	3,787,707
Selling and marketing expenses (note 20)	2,419,058
General and administrative expenses (note 21)	89,178
	6,295,943

Arabian Food Industries Company (Domty) – S.A.E

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
At 30 September 2023

3 PROPERTY,PLANT AND EQUIPMENT – CONT.

Fixed assets and right of use assets have been merged and listed in the statement of financial position as follows:

	30/9/2022	31/12/2021
	LE	LE
Net book value of fixed assets	661,989,060	682,347,875
Net book value of right of use assets	40,448,984	48,423,089
	702,438,044	730,770,964

	Land	Buildings	Machinery and equipment	Vehicles	Tools	Computers and software	Furniture and fixtures	Total
	LE	LE	LE	LE	LE	LE	LE	LE
Cost								
As of 1 January, 2022	8,221,307	132,954,352	691,146,179	98,903,928	20,919,408	22,375,622	13,288,629	987,809,425
Cost of capitalized assets as of 1 January 2022 (First option)	-	-	24,204,416	-	-	-	-	24,204,416
Cost of assets using valuation factor as of 1 January 2022 (third option)	-	-	84,943,271	45,119,127	-	-	-	130,062,398
Additions	-	2,151,054	6,239,209	7,931,850	1,092,923	1,059,666	895,839	19,370,541
Transferred from projects under construction		23,407,440	1,193,226	-	-	-	-	24,600,666
Disposals	-	-	-	(458,750)	-	(2,199)	-	(460,949)
Disposals of revalued assets (third option)	-	-	-	(192,704)	-	-	-	(192,704)
As of 30 September , 2022	8,221,307	158.512.846	807.726.301	151.303.451	22.012.331	23.433.089	14.184.468	1.185.393.793
Accumulated depreciation								
As of 1 January, 2022	-	(18,189,286)	(234,973,625)	(54,204,390)	(14,141,302)	(15,947,646)	(7,839,211)	(345,295,460)
Accumulated depreciation for capitalized assets as of 1 January 2022 (First option)	-	-	(12,211,870)	-	-	-	-	(12,211,870)
Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2022	-	-	(70,286,652)	(31,934,382)	-	-	-	(102,221,034)
Depreciation for the period	-	(2,609,861)	(43,935,178)	(5,771,701)	(1,503,245)	(2,081,716)	(813,457)	(56,715,158)
Depreciation for capitalized assets (first option)	-	-	(1,758,391)	-	-	-	-	(1,758,391)
Depreciation for assets using valuation factor (Third option) - note (34)	-	-	(3,515,695)	(2,046,853)	-	-	-	(5,562,548)
Disposals	-	-	-	242,087	-	1,283	-	243,370
Disposals of revalued assets (third option)	-	-	-	116,358	-	-	-	116,358
As of 30 September 2022	-	(20,799,147)	(366,681,411)	(93,598,881)	(15,644,547)	(18,028,079)	(8,652,668)	(523,404,733)
Net book value as of 30 September 2022	8,221,307	137,713,699	441,044,890	57,704,570	6,367,784	5,405,010	5,531,800	661,989,060
Net book value as of 31 December 2021	8,221,307	114,765,066	482,821,719	57,884,283	6,778,106	6,427,976	5,449,418	682,347,875

3 PROPERTY,PLANT AND EQUIPMENT – CONT.

- The cost of fixed assets as of 30 September 2022 includes EGP 85,029,511 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	2022
	LE
Cost of sales	53,725,962
Selling and marketing expenses (note 20)	9,530,627
General and administrative expenses (note 21)	779,508
	64,036,097

Disposals of property, plant and equipment represent the sale of some assets as follows:

	30 September 2022	
	LE	LE
Proceeds from sales of property, plant and equipment		555,611
Cost of disposed property, plant and equipment	653,653	
Accumulated depreciation relating to disposals	(359,728)	
Net book value of disposed property, plant and equipment		293,925
Gain from sale of property, plant and equipment (note 22)		261,686

Depreciation expense also allocated as follows:

	2022
	LE
Depreciation for the period	56,715,158
Depreciation for the period (First option)	1,758,391
Depreciation for the period (Third option)	5,562,548
	64,036,097

3 RIGHT OF USE ASSETS – CONT.

	Buildings	Machines and equipment	Total
	LE	LE	LE
Cost			
As of 1 January, 2022	44,812,312	13,196,762	58,009,074
Addition	222,988	-	222,988
Disposal	(1,249,170)	-	(1,249,170)
As of 30 September 2022,	43,786,130	13,196,762	56,982,892
Accumulated Amortization			
As of 1 January, 2022	(8,852,828)	(733,157)	(9,585,985)
Amortization for the period	(6,537,478)	(824,798)	(7,362,276)
Disposal	414,353	-	414,353
As of 30 September 2022,	(14,975,953)	(1,557,955)	(16,533,908)
Net Book Value as of 30 September 2022	28,810,177	11,638,807	40.448,984
Net book value as of 31 December 2021	35,959,484	12,463,605	48,423,089

- Amortization expense also allocated as follows:

	2022
	LE
Cost of sales	3,787,707
Selling and marketing expenses (note 20)	3,302,046
General and administrative expenses (note 21)	272,523
	7,362,276

4 PROJECTS UNDER CONSTRUCTION

	30 September 2023 LE	31 December 2022 LE
1 January	**102,537,315**	52,487,907
Additions	**61,559,239**	74,650,074
Transferred to property, plant and equipment (note 3)	**(63,472,173)**	(24,600,666)
	100,624,381	102,537,315

Projects under construction are analysed as follows:

	30 September 2023 LE	31 December 2022 LE
Buildings	**3,006,140**	24,789,664
Machinery and equipment	**91,986,437**	74,011,535
Software	**5,631,804**	3,736,116
	100,624,381	102,537,315

5 INVESTMENT IN ASSOCIATES

Subsidiary name	Country	Percentage of investment	Investment value 30/9/2023 LE	Investment value 31/12/2022 LE
FRIDOM Dairy International for dairy products	Egypt	49.00%	**4,155,415**	4,018,553

- **Movement on the balance of investment in associate is as follows**

	30/9/2023 LE	31/12/2022 LE
Balance as of 1 January	**4,018,553**	4,629,853
Company shares from the result of subsidiary during the period / year	136,862	(611,300)
	4,155,415	4,018,553

- Fridom Dairy International Company for dairy products "FRIDOM Dairy International" is a joint stock company established in accordance with the provisions of Egyptian law.
- The Company subjects to the provisions of joint stock companies, partnership limited by shares, limited liability companies, and sole proprietorship companies promulgated by Law No. 159 of 1981.
- The company's authorized capital was set to US$6,000,000 (six million) US dollars, and the company's issued capital was set at US$600,000 (six hundred thousand) US dollars, distributed over 1,000,000 (million) shares, the value of each share is US$0.6. The Arabian Food Industries Company "Domty" contributes to the capital of Fridom Dairy International Company for dairy products by 49%, which represents an amount of $294,000 (two hundred and ninety-four thousand) dollars.

- **Purpose of Fridom Dairy International, Inc.**
- export,
- General trade in what is permitted by law and distribution of food and dairy products.

6 INVENTORIES

	30 September 2023 LE	31 December 2022 LE
Raw materials	**442,843,103**	379,297,099
Spare parts	**83,182,149**	70,069,130
Work in process	**3,415,106**	468,776
Finished goods*	**99,308,880**	100,043,108
Goods in transit	**60,576,169**	24,150,169
	689,325,407	574,028,282
Write down of inventory	**(1,941,200)**	(1,941,200)
	687,384,207	572,087,082

* Finished inventory includes an amount of LE 3,876,354 which represents the Cost of Sales that is expected to be returned, in accordance with Egyptian Accounting Standard No. (48) - Revenue from contracts with customers.

7 ACCOUNTS AND NOTES RECEIVABLE

	30 September 2023 LE	31 December 2022 LE
Accounts receivable – Local market	**927,599,426**	557,323,928
Accounts receivable – Export	**105,754,439**	62,967,127
Notes receivable	**52,704,361**	52,225,071
	1,086,058,226	672,516,126
Impairment of accounts receivable	**(97,508,861)**	(80,858,306)
	988,549,365	591,657,820

The movement of provision for impairment of accounts receivables represented as follows:

	30 September 2023 LE	31 December 2022 LE
Balance as of 1 January	**80,858,306**	**41,576,654**
Charged during the period / year	**16,650,555**	**39,281,652**
Balance	**97,508,861**	**80,858,306**

8 PREPAYMENTS AND OTHER DEBIT BALANCES

	30 September 2023 LE	31 December 2022 LE
Prepaid expenses	**7,015,989**	7,131,735
Deposits with others	**8,738,126**	8,172,626
Employees' advances	**8,908,443**	17,337,691
Advances to suppliers to purchase property, plant and equipment	**36,023,563**	40,072,315
Amount due from tax authority	**45,961,519**	57,426,387
Advances to suppliers	**97,126,393**	58,497,310
Letters of credit	**317,981**	5,277,916
Letters of credit cash cover	**-**	490,352
Other debit balances	**154,480,511**	82,749,727
	358,572,525	277,156,059
Impairment of prepayments and other receivables	**(15,825,134)**	(14,261,742)
	342,747,391	262,894,317

8 PREPAYMENTS AND OTHER DEBIT BALANCES– CONT.

The movement of impairment of prepayments and other debit balances represented as follows:

	30 September 2023 *LE*	*31 December 2022* *LE*
Balance as of 1 January	**14,261,742**	11,480,629
Formed during the period / year	**1,563,392**	2,829,238
Provision no longer required	**-**	(48,125)
Balance	**15,825,134**	14,261,742

9 FINANCIAL INVESTMENTS AT AMORTIZED COST (TREASURY BILLS)

	30 September 2023 *LE*	*31 December 2022* *LE*
Nominal value of treasury bills	**106,200,000**	466,850,000
Deferred Interest from Treasury bills	**(5,901,452)**	(29,255,719)
Withholding tax on the interest (Profit or loss statement)	**(68,622)**	(3,096,544)
	100,229,926	434,497,737
Impairment of Treasury bills	**(273,660)**	(2,005,886)
Treasury bills balance	99,956,266	432,491,851

The movement of impairment of treasury bills represented as follows:

	30 September 2023 *LE*	*31 December 2022* *LE*
Balance as of 1 January	**2,005,886**	1,421,384
Made during the period / year	**-**	584,502
No longer required	**(1,732,226)**	-
Balance	**273,660**	2,005,886

10 CASH ON HAND AND AT BANKS

	30 September 2023 *LE*	*31 December 2022* *LE*
a) Local Currency		
Cash on hand	**149,725,426**	16,567,330
Current accounts	**146,308,485**	81,338,773
Deposit	**95,000,000**	278,000,000
	391,033,911	375,906,103
b) Foreign currency		
Cash on hand	**98,997,387**	11,705,559
Current accounts	**52,967,600**	52,546,826
	151,964,987	64,252,385
	542,998,898	440,158,488

11 PROVISIONS OF EXPECTED CLAIMS

	30 September 2023 LE	31 December 2022 LE
Balance as of 1 January	**22,193,416**	6,785,113
Charge for the period / year	**25,309,767**	17,360,800
Provision no longer required	**(3,963,506)**	-
Used during the period / year	**(2,633,712)**	(1,952,497)
	40,905,965	22,193,416

The balance at 30 September 2023 is expected to be utilized in upcoming periods. In the opinion of the Company's management after taking appropriate technical advice, the outcome of these claims will not give rise to any significant loss beyond the amounts provided at period end.

The information usually required by accounting standards is not disclosed because the management believes that to do so would seriously prejudice the outcome of the negotiation with those parties. These provisions are reviewed by management on an annual basis and they are adjusted based on latest developments, discussions and agreements with those parties.

12 SHORT TERM CREDIT FACILITIES

	30 September 2023 LE	31 December 2022 LE
a) Egyptian pounds	**1,306,364,225**	1,247,679,118
	1,306,364,225	1,247,679,118

The balance of credit facilities on 30 September 2023, represents the value of the user of the credit facilities granted by banks, amounting to a total of 2.885 billion Egyptian pounds, for the purpose of opening documentary credits and for the purpose of financing the company's current activity, with an average interest rate of 17.03% for Egyptian pounds.

13 TRADE AND NOTES PAYABLES

	30 September 2023 LE	31 December 2022 LE
Trade payables	**263,033,795**	228,769,872
Notes payable	**1,052,563**	1,116,615
	264,086,358	229,886,487

14 ACCRUED EXPENSES AND OTHER CREDIT BALANCES

	30 September 2023 LE	31 December 2022 LE
Accrued expenses	**158,125,230**	85,271,864
Accrued dividend	**21,636,167**	-
Deposits from others	**1,593,661**	2,236,935
Advances from customers	**9,070,008**	25,494,432
Due to Social Insurance Authority	**4,600,522**	3,813,496
Tax authorities	**24,022,994**	13,436,203
Liability against expected sales return – EAS 48	**5,130,167**	4,351,947
Other credit balances	**4,686,454**	3,596,885
	228,865,203	138,201,762

15 TERM LOANS

	30 September 2023 *LE*	*31 December 2022* *LE*
Non-current portion	**157,024,215**	130,598,717
Current portion	**42,017,604**	28,529,643
	199,041,819	159,128,360

	CIB (1) *LE*	*EALB* *USD*	*CIB (2)* *LE*	*QNB* *EGP*	*Total* *L.E*
Balance as of 1 January 2023	**74,562,708**	**29,166,381**	**31,247,019**	**24,152,252**	**159,128,360**
Proceeds during the period	-	-	**11,493,547**	**48,526,127**	**60,019,674**
Payments during the period	**(13,207,527)**	**(7,914,121)**	**(4,274,056)**	-	**(25,395,704)**
Forex losses on loans balances	-	**5,289,489**	-	-	**5,289,489**
Balance as of 30 *September* 2023	**61,355,181**	**26,541,749**	**38,466,510**	**72,678,379**	**199,041,819**

	CIB LE	HSBC USD	EALB USD	CIB (2) LE	QNB EGP	Total L.E
Balance as of 1 January 2022	89,860,530	8,836,800	25,282,718	-	-	123,980,048
Proceeds during the period	-	-	-	31,247,019	24,152,252	55,399,271
Payments during the period	(15,297,822)	(8,836,800)	(6,716,946)	-	-	(30,851,568)
Forex losses on loans balances	-	-	10,600,609	-	-	10,600,609
Balance as of 31 December 2022	74,562,708	-	29,166,381	31,247,019	24,152,252	159,128,360

- **Loan from HSBC Bank**

  Represents a term loan granted to the Company during 2017, amounting to USD 3.36 million from HSBC Bank to refinance the current loans granted to the company by the bank as a working capital (short-term loans) and covering the deficit resulted from the reduction of local currency value, The loan is repayable over 60 monthly installments. The loan was fully settled in September 2022.

  - **Interest rate:** the LIBOR price for 3 months plus a margin of 3% annually.

  - **Guarantees:** insurance policies against all risks in favor of the bank as a first beneficiary, covering 110% of the outstanding debts, in addition to a commercial mortgage power of attorney on the physical and intangible assets of the company covering 110% of the amount of financing granted to the company.

  The power of attorney was cancelled according to minutes of ratification No. 344 / R / for the year 2022 issued by the Banks Documentation Office at the Real Estate Registration and Documentation Authority

- **Loan from Commercial International Bank (1)**

  On 15/7/2019 the company signed a medium-term loan contract with The Commercial International Bank (CIB- Egypt), whereby the bank allows Domty to obtain a loan of up to 100 million Egyptian pounds, amounting to EGP 100 million from CIB Bank.

  The purpose of the loan:

  The loan proceeds will be used to finance the company's future expansion & capital expenditure for the financial year 2019 for the company's new products represented in bakery and beyond with maximum of EGP 100,000,000.

  - Issuing letters of credit with maximum period of 365 days including the period of acceptance of documents trading, and that is the import of the needs of the new bakery line and beyond, with maximum amount of EGP 33 million equivalents to USD 1,737,000.

  -The company is committed to repay the loan amount on 20 quarterly installments starting after 18 months from the date of initial withdrawal.

  - **Interest rate:** a variable rate of the average corridor price announced by the Central Bank of Egypt, in addition to the margin.

  - **Guarantees:** An insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a sole beneficiary against the installation risks of machines and equipment financed by the bank, provided that the installation period is covered by 115% of the total financing amount, including the replacement value. And that the policy should include coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

15 TERM LOANS- CONT.

- **Loan from Commercial International Bank (2)**
  Represented in the value of medium-term financing granted to the company by the Commercial International Bank on 18 November 2021 (according to the initiative of the Central Bank of Egypt in December 2019) in an amount not exceeding 54,000,000 EGP (only fifty-four million Egyptian pounds).

  Purpose of the granted funding:
  - Financing the investment cost of the company related to the local purchase and/or importing part of the fourth production line for the bakery industry, the croissant production line, machinery and equipment, and both the additional costs and the installation cost for them, in accordance with the terms and conditions stipulated in the loan contract.
  - The company is committed to repay the financing amount in 20 quarterly installments as soon as the grace period, which is specified for a maximum of twelve months, expires from the date of the first withdrawal of the financing amount or the withdrawal of the total financing amount.
  - **The interest rate:** an 8% interest rate applies to the first tranche in accordance with the initiative of the Central Bank of Egypt, and the corridor interest rate for lending announced by the Central Bank of Egypt applies to the second tranche, in addition to the margin.
  - **Guarantees**: an insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a single beneficiary, at a rate of 115% of the total amount of financing, including the replacement value, provided that the document includes coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

- **Loan from EALB**
  Represents a credit facility in the form of a long-term loan granted to the company by the Egyptian Arab Land Bank with a total amount of USD 2,100,000 (only two million and one hundred thousand US dollars only).

  The purpose of the granted financing is to finance the import of the bakery production line.
  - Loan term: 6 years, including the grace and withdrawal period, with a maximum of 12 months, to be paid in 20 equal quarterly installments.

  -**Interest rate**: 3.25% above the 3-month LIBOR price, with a review of the LIBOR at the end of each fiscal quarter.

  -**Guarantees:** Signing (4) promissory notes, each with a value of 525 thousand US dollars, for use in foreign currency. The company is also committed to allocating part of an insurance policy in favor of the bank, amounting to 110% of the total long-term financing against all risks.

- **Loan from QNB**
  It is represented in a loan contract concluded with Qatar National Bank Al Ahli on 26 October 2021 (according to the initiative of the Central Bank of Egypt in December 2019) amounting to 66,000,000 Egyptian pounds (only sixty-six million Egyptian pounds).

  The purpose of the granted loan is dedicated to finance production lines with the aim of increasing the production capacity of the industrial activity.

  - Loan period: 5 years starting from the date of signing the loan contract and ending on26 October 2026. This period includes the grace period and the withdrawal period, which is scheduled for one year from the date of the first withdrawal, all provided that the withdrawal conditions established under the loan contract are fulfilled, as well as providing the bank with the documents it deems to allow the withdrawal of loan.

  Repayment period: The company is obligated to repay the loan in 16 quarterly installments of equal value from the value of the balance used at the end of the withdrawal period in addition to the applicable return in accordance with the terms and conditions of the loan contract.

  -**Interest rate**: 8% according to the initiative of the Central Bank of Egypt.

  - **Guarantees**: an insurance policy in favor of the bank covering 110% of the loan value on the assets financed by the bank against all risks.

16 SHARE CAPITAL

- The company's authorized capital of 30 September 2023 LE 282,608,695, (31 December 2022, the Company's authorized capital amounts LE 282,608,695).
- As of 30 September 2012, the issued and paid-up capital was LE 30,000,000 divided over 1,200,000 shares of par value LE 25 each.
- The Extraordinary General Assembly approved the raise of the issued and paid-up capital by L,E 20,000,000 divided over 800000 shares at the par value of LE 25 to reach LE 50,000,000 through share dividends of 2 shares for every 3 outstanding shares.
- on 21 October 2015 the Extraordinary General Assembly decided the fragmentation of the nominal value of each share from LE 25 to LE 0,2 and was approved in the commercial register on 15 December 2015.
- On 7 April 2016 the Board of Directors decided (authorized by the extraordinary General Assembly in the 15 January 2016) to increase the paid-up capital by LE 6,521,739 distributed over 32,608,695 shares with a nominal value of 20 piaster per share then the initial public offering held on the final fair value for the share amounted to LE 9.20 per share were the difference of LE 9 were share premium.
- According to article 94 of the Companies Law No, 159 of 1981 of the Implementing Regulations, an amount of LE 9,366,743 were added from the share premium to the legal reserve, Thus, the legal reserve is half the issued capital, and a special reserve were charged with the remaining amount of the premium of LE 283,422,423 after deducting the issuance expenses of LE 689,089 and the capital increase was approved in the commercial register on 17 May 2016. Accordingly, the issued and paid-up capital as of 31 March 2023 amounted to L,E 56,521,739 divided over 28,26,08,695 shares as of 30 September (31 December 2022: LE 56,521,739).
- The Extraordinary General Assembly decided on March 31, 2021, to reduce the authorized capital from 500,000,000 Egyptian pounds to 282,608,695 Egyptian pounds in accordance with the provisions of Article No. 10 of the rules of listing in the Egyptian Stock Exchange that the authorized capital should not exceed five times the issued capital.

17 RETAINED EARNINGS

The balance of the Consolidated Retained Earnings on 30 September 2023, is as follows:

First: the profits for the period amounting to LE 354,295,005 which will be presented to the general assembly, which will consider approving the results of the year ending 31 December 2023.

Second: Retained Earnings from previous years with the amount of LE 528,906,191.

Third: The consolidated retained earnings include an amount of LE 4,347,509 on 30 September 2023 (31 December 2022: LE 4,193,619) not available for distribution being the legal reserve of the subsidiary.

18 MACHINES INSTALMENTS

The machine installments represent outstanding installments for the purchased packing machines from the supplier and do not bear interest. The balance is represented as follow:

	30 September 2023 LE	*31 December 2022* LE
Less than one year – current	-	2,106,060
	-	2,106,060

19 INCOME TAXES

	From 1/1/2023 To 30/9/2023 LE	*From 1/1/2022 To 30/9/2022* LE
Current income taxes	**120,377,079**	65,673,427
Deferred tax expense	**(10,379,930)**	(10,244,187)
	109,997,149	55,429,240

RECONCILIATION OF THE EFFECTIVE INCOME TAX RATE

	Rate	*30 September 2023* LE	*Rate*	*30 September 2022* LE
Profit before income taxes		**417,515,226**		193,651,303
Add: Non-deductible expenses				
Accounting depreciation		**73,887,169**		64,036,097
Provisions made during the period		**43,523,714**		41,413,492
Donations		**2,992,306**		2,367,500
Board of directors' allowances		**625,000**		525,000
Unrealized forex losses		**215,499**		392,602
Realized forex differences previously deducted on prior year		**17,761,543**		1,116,959
Application of Egyptian Accounting Standard (48)		**778,220**		229,590
Excess of 7% of documented general and administrative expenses		**5,473,586**		27,363,238
10% of the value of the dividends received by the company from the affiliated development company		**5,836,383**		-
Medical contribution of 0.25%		**13,904,236**		9,271,538
The cost of financing and investing the returns of treasury bills		**1,590,421**		-
Less: Deductible expenses				
Tax depreciation		**(66,841,210)**		(53,126,724)
Capital gains		**(1,471,296)**		(261,686)
Previously taxed provisions		**(3,996,006)**		(48,125)
Provisions no longer required		**(1,732,226)**		-
Provisions used		**(1,653,063)**		(1,201,676)
Donation		**(442,700)**		(2,367,500)
Application of Egyptian Accounting Standard (48)		**(583,714)**		-
Unrealized forex differences previously deducted on prior year		**(577,112)**		-
Transactions that are not included in the income statement and are considered deductible costs		-		(5,867,320)
Unrealized forex losses		**(13,376,360)**		(7,355,793)
Tax base		**493,429,616**		270,138,495
Income Tax	26.55%	**111,021,664**	31.39%	60,781,162
Returns on treasury bills		**46,777,076**		24,461,326
Tax due on treasury bills returns	20%	**9,355,415**	20.00%	4,892,265
Income taxes at the effective tax rate	25,89%	**120,377,079**	30.11%	65,673,427

19 INCOME TAXES-CONT.

Components of deferred tax liability are as follows:

	30 September 2023 *LE*	*31 December 2022* *LE*
Deferred tax for Depreciation of Property, plant and equipment	**56,146,374**	57,005,035
Deferred tax for Forex difference	**2,961,194**	3,866,497
Deferred tax for Impairment of accounts and note receivables	**(14,719,525)**	(10,973,150)
Deferred tax for Impairment of other debit balances	**(2,063.214)**	(1,711,451)
Deferred tax for Impairment of treasury bill	**345,363**	(44,388)
Deferred tax for Provisions of expected claims	**(9,778,664)**	(4,083,965)
Deferred tax for Provisions previously taxed	**891,789**	
Deferred tax for Provisions used	**371,939**	-
Deferred tax liability against right of use liability- ESA 49	**2,016,030**	2,492,638
Deferred Tax Assets resulted from carry forward taxable losses	**(5,155,469)**	(5,118,478)
Deferred tax for Impairment of accounts and note receivables – retained earnings	**(4,900,914)**	(4,900,914)
Deferred tax for Impairment of other debit balances – retained earnings	**(1,356,536)**	(1,356,536)
Deferred tax for Impairment of treasury bill – retained earnings	**(406,937)**	(406,937)
Net deferred tax (liability)	**24,351,430**	34,768,351

20 SELLING AND MARKETING EXPENSES

	From 1/7/2023 To 30/9/3023 LE	*From 1/7/2022 To 30/9/2022* LE	***From 1/1/2023 To 30/9/3023*** LE	*From 1/1/2022 To 30/9/2022* LE
Marketing activities	**71,091,522**	46,985,649	**184,543,233**	126,376,293
Advertising activities	**32,490,882**	15,918.852	**83,445,568**	41,844,239
Salaries and wages	**67,994,058**	55,007,057	**192,722,229**	158,908,704
Warehousing	**3,920,483**	3,460,811	**10,110,595**	9,096,880
Rent, transportation and vehicles license	**16,700,026**	14,058,470	**43,862,224**	40,576,165
Spare parts and maintenance	**14,675,220**	10,169,679	**40,363,613**	27,655,951
Depreciation (Note 3)	**3,633,535**	3,141,323	**10,344,419**	9,530,627
Amortization – Right of Use (Note 3)	**766,017**	969,950	**2,419,058**	3,302,046
Insurance	**1,152,131**	1,044,063	**3,454,712**	3,122.182
Impairment of account receivables (Note 7)	**(10,376,849)**	11,170,762	**16,650,555**	36,866,154
Freight	**14,741,479**	14,207,678	**38,883,904**	39,343,182
Aging and emptying expense	**1,644,264**	1,495,238	**5,222,916**	4,607,230
Stationary	**1,356,503**	806,405	**4,389,674**	2,186,467
Medical Care	**520,505**	524,198	**1,562,092**	1,740,532
Others	**11,703,539**	9,656,337	**33,941,042**	26,173,587
	232,013,315	188,616,472	**671,915,834**	531,330,239

21 GENERAL AND ADMINISTRATIVE EXPENSES

	From 1/7/2023 To 30/9/3023 LE	*From 1/7/2022 To 30/9/2022* LE	*From 1/1/2023 To 30/9/3023* LE	*From 1/1/2022 To 30/9/2022* LE
Salaries and wages	**13,554,668**	12,560,756	**38,263,752**	37,302,706
Board allowances	**200,000**	75,000	**625,000**	525,000
Depreciation (Note 3)	**826,951**	377,226	**1,980,635**	779,508
Amortization – Right of Use (Note 3)	**20,940**	90,841	**89,178**	272,523
Rent, transportation, travel and vehicles license	**61,314**	398,424	**190,065**	868,474
Stationary	**110,762**	134,269	**453,388**	293,920
Medical Care	**110,485**	101,127	**334,863**	316,216
Donations	**159,500**	102,000	**442,700**	2,367,500
Impairment of other debit balances (Note 8)	**-**	2,829,238	**1,563,392**	2,829,238
Impairment of provisions no longer required (Note 8)	**-**	-	**-**	(48,125)
Others	**4,000,680**	15,188,653	**11,809,087**	21,248,975
	19,045,300	31,857,534	**55,752,060**	66,755,935

22 NET OTHER OPERATING INCOME

	From 1/7/2023 To 30/9/3023 LE	*From 1/7/2022 To 30/9/2022* LE	*From 1/1/2023 To 30/9/3023* LE	*From 1/1/2022 To 30/9/2022* LE
Export support subsidy	**14,915,037**	7,911,127	**35,921,096**	17,289,024
Marketing discount from suppliers	**4,624,500**	-	**13,876,500**	3,708,000
Other income	**3,215,193**	2,887,783	**3,215,193**	2,887,783
Scrap sales	**9,012,142**	6,933,875	**25,649,531**	19,967,088
Gain from sale of Property, plant and equipment (note 3)	**409,797**	95,800	**1,471,296**	261,686
Gian from disposal of right of use	**-**	84,315	**-**	86,165
	32,176,669	17,912,900	**80,133,616**	44,199,746

23 FINANCE INCOME

	From 1/7/2023 To 30/9/3023 LE	*From 1/7/2022 To 30/9/2022* LE	*From 1/1/2023 To 30/9/3023* LE	*From 1/1/2022 To 30/9/2022* LE
Interest of treasury bills	**11,711,244**	9,598,683	**46,777,076**	24,461,326
Interest of deposit	**250,110**	-	**6,790,165**	-
	11,961,354	9,598,683	**53,567,241**	24,461,326

24 FINANCE EXPENSES

	From 1/7/2023 To 30/9/3023 LE	*From 1/7/2022 To 30/9/2022* LE	*From 1/1/2023 To 30/9/3023* LE	*From 1/1/2022 To 30/9/2022* LE
Interest on loans and credit facilities	**76,588,767**	31,907,455	**201,915,845**	81,635,342
Interest Expense – lease liability	**896,520**	1,037,807	**2,906,611**	3,272,623
Losses (gain) from foreign exchange differences	**(36,190)**	(674,571)	**2,991,091**	10,794,007
	77,449,097	32,270,691	**207,813,547**	95,701,972

25 CONTINGENT LIABILITIES

As of 30 September 2023, the Group had contingent liabilities in respect of banks' letter of guarantees issued by the banks amounting to LE 6,055,920 (31 December 2022: LE 6,555,000), And it is anticipated that no actual liability will arise as a result of these letters.

26 MERGER RESERVE

Merger reserve represents the difference between the nominal value of the shares of the subsidiary acquired in the Common Control Transaction and the cash paid as consideration for such acquisition, Until the date of the Common Control Transaction, the merger reserve represents the nominal value of the shares of the subsidiary owned by the controlling shareholders of the Parent, Cash consideration paid by the Company to the controlling shareholders for the purchase of the subsidiary shares on 30 April 2014 has been reflected as a distribution.

27 EARNING PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit for the period attributable to the equity holders of the Parent by the weighted average number of shares outstanding during the period.

	30 September 2023 *LE*	*30 September 2022* *LE*
Net profit for the period	**354,295,005**	162,682,952
Employees and Board of directors' dividends*	**(67,033,442)**	(30,627,152)
Net profit available for distribution after employees and board of directors share of profit	**287,261,563**	132,055,800
Number of shares outstanding	**282608695**	282608695
Basic and diluted earnings per share	**1.02**	0.47

* According to the Egyptian law, employees and Board of Directors members are entitled to a percentage of the company's profit as a profit sharing when dividends are declared.

28 CAPITAL COMMITMENTS

Capital commitments

The balance of the company's contracted capital commitments as of 30 September 2023 amounted to LE 42,071,168 (31 December 2022: LE 46,174,353) as follows:

30 September 2023	*Contract amount* *LE*	*Paid amount* *LE*	*Un-paid amount* *LE*
-Machines and Equipment	**62,674,338**	**(22,986,958)**	**39,687,380**
-Buildings	**15,064,006**	**(12,680,218)**	**2,383,788**
	77,738,344	**(35,667,176)**	**42,071,168**

31 December 2022	*Contract amount* *LE*	*Paid amount* *LE*	*Un-paid amount* *LE*
-Machines and Equipment	66,818,643	(22,697,533)	44,121,110
-Buildings	11,614,402	(9,561,159)	2,053,243
	78,433,045	(32,258,692)	46,174,353

29 LEASE LIABILITY

Applying Egyptian Accounting Standard No. 49, the lease obligations on 30 September 2023 amounted of 37,119,925 Egyptian pounds, shown as the following:

	30 September 2023	*31 December 2022*
	LE	*L.E*
Balance as of 1 January	**43,772,145**	49,961,855
Additions during the period / year	**-**	222,988
Terminated Lease Contracts	**-**	(949,431)
Accretion Interest	**2,906,611**	4,311,150
Instalments paid through the period / year	**(9,558,831)**	(9,774,417)
Balance	**37,119,925**	43,772,145
Less than one period	**12,303,481**	11,850,672
More than one year and not later than five years	**24,816,444**	31,921,473
	37,119,925	43,772,145

30 SEGMENT REPORTING

In 2012, the company was operating in one segment, From September 2013, the Company started the production of juice and from September 2018, the Company started the production of Bakery products therefore the Company started to operate into three segments as follows:

- Dairy products
- Juice Products
- Bakery Products

The Executive Management Committee monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment, Segment performance is evaluated based on gross profits and is measured consistently with profit or loss in the consolidated financial statements, However the Group's financing (including finance costs and finance income) and income taxes are managed on a Group basis and are not allocated to operating segments,
The amount of each segment item reported shall be the measure reported to the chief operating decision maker for the purposes of making decisions about allocating resources to the segment and assessing its performance.

Primary segments results – related products for the period ended 30 September 2023 are as follows:

	Dairy products	Juice products	Bakery products	Total
	LE	LE	LE	LE
Segment sales	**4,148,056,685**	**362,421,494**	**812,243,400**	**5,322,721,579**
Sales returns provision	**(4,717.953)**	**(412,214)**		**(5,130,167)**
Sales returns provision no longer required	**3,913,289**	**438,658**	**-**	**4,351,947**
Segment cost of sales	**(3,097,772,500)**	**(294,508,300)**	**(630,791,978)**	**(4,023,072,778)**
Cost of sales returns provision	**3,537,488**	**338,867**		**3,876,355**
Cost of sales returns provision no longer required	**(2,922,675)**	**(369,966)**	**-**	**(3,292,641)**
Gross Profit	**1,050,094,334**	**67,908,539**	**181,451,422**	**1,299,454,295**

Operating expenses net of other operating income	**(667,011,451)**
Finance income	**53,567,241**
Finance expenses	**(207,813,547)**
Medical Insurance Contribution	**(13,904,236)**
Income tax expenses	**(109,997,149)**
Net profit for the period	**354,295,153**

30 SEGMENT REPORTING (Continued)

	Dairy products	Juice products	Bakery products	Unallocated	Total
	LE	LE	LE	LE	LE
Depreciation for the period	**(18,967,471)**	**(10,758,426)**	**(22,081,750)**	**(15,040,242)**	**(66,847,889)**
Depreciation for the period (First option)	**(1,114,514)**	**(643,877)**	-	-	**(1,758,391)**
Depreciation for the period (Third option)	**(1,115,701)**	**(2,128,468)**	-	**(2,036,720)**	**(5,280,889)**
Amortization – Right of use	**(412,399)**	**(412,399)**	-	**(5,471,145)**	**(6,295,943)**
	(21,610,085)	**(13,943,170)**	**(22,081,750)**	**(22,548,107)**	**(80,183,112)**

Primary segments results – related products for period ended 30 September 2022 are as follows:

	Dairy products	Juice products	Bakery products	Total
	LE	LE	LE	LE
Segment sales	2,590,241,425	315,463,620	687,613,466	3,593,318,511
Sales returns provision	(826,141)	(100,615)	-	(926,756)
Segment cost of sales	(1,994,168,119)	(264,366,859)	(480,324,602)	(2,738,859,580)
Cost of sales returns provision	613,374	83,792	-	697,166
Gross Profit	595,860,539	51,079,938	207,288,864	854,229,341
Operating expenses net of other operating income				(555,604,528)
Finance income				24,461,326
Finance expenses				(95,701,972)
Medical Insurance Contribution				(9,271,538)
Income tax expenses				(55,429,240)
Net (losses) for the period				162,683,389

	Dairy products	Juice product	Bakery products	Unallocated	Total
	LE	LE	LE	LE	LE
Depreciation expenses	(16,957,278)	(13,086,415)	(13,891,485)	(12,779,980)	(56,715,158)
Depreciation for the period (First option)	(1,114,514)	(643,877)	-	-	(1,758,391)
Depreciation for the period (Third option)	(1,387,227)	(2,128,468)	-	(2,046.853)	(5,562,548)
Amortization – Right of use	(412,399)	(412,399)	-	(6,537,478)	(7,362,276)
	(19,871,418)	(16,271,159)	(13,891,485)	(21,364,311)	(71,398,373)

Segments Assets

30 September 2023	Dairy products	Juice products	Bakery products	Unallocated	Total
	LE	LE	LE	LE	LE
Total assets	**107,680,933**	**116,860,034**	**198,556,001**	**3,014,543,361**	**3,437,640,329**
Capitalized assets (First option)	**5,528,752**	**2,360,882**	-	-	**7,889,634**
Valuation assets (Third option)	**1,524,267**	**5,227,085**	-	**8,284,060**	**15,035,412**
Right of use assets	**5,269,539**	**5,269,538**	-	**21,220,422**	**31,759,499**
Total assets	**120,003,491**	**129,717,539**	**198,556,001**	**3,044,047,843**	**3,492,324,874**

Segments Assets

31 December 2022	Dairy products	Juice products	Bakery products	Unallocated	Total
	LE	LE	LE	LE	LE
Total assets	119,992,995	127,618,461	169,596,374	2,613,858,184	3,031,066,014
Capitalized assets (First option)	6,643,267	3,004,758	-	-	9,648,025
Valuation assets (Third option)	2,639,968	7,355,553	-	10,350,794	20,346,315
Right of use assets	5,681,937	5,681,938	-	26,691,567	38,055,442
Total assets	134,958,167	143,660,710	169,596,374	2,650,900,545	3,099,115,796

30 SEGMENT REPORTING (Continued)

Secondary Segment results – geographical sales by areas for the period ended 30 September 2023 are as follows:

Geographical areas	**30 September 2023**	30 September 2022
	LE	LE
Local		
Cairo	**2,510,339,814**	1,686,108,587
Alexandria	**559,001,014**	361,499,323
Delta	**796,262,241**	685,364,934
Upper Egypt	**986,660,163**	665,502,073
	4,852,263,232	3,398,474,917
Export	**470,458,347**	194,843,594
	5,322,721,579	3,593,318,511
Sales returns provision	**(778,220)**	(926,756)
	5,321,943,359	3,592,391,755

31 TAX SITUATION

31-1 Arabian food industries company (DOMTY)

a) Corporate taxes

The Company was exempted from corporate taxes for ten years started from the commencement of operation till 31 December 2000.

The company submitted the tax declarations from inception until 2019 and they were inspected by the Tax Authorities and are currently being settled.

The company submitted the tax declaration for the year 2020 till 2021 to large taxpayer's center and the large taxpayers center has notified the company of a (form 19 – estimated). The company appealed the form on the legal date, and they prepared the documents for defenses to support the company's point of view.

The Company submit the income tax return for year 2022 on legal date.

b) Sales taxes / Value added tax

The Company's records were inspected and all taxes due were paid for the years from the commencement of operation till 31/12/2019.

The company submitted the sales tax returns on monthly basis and at the legal dates for the period from 1 January 2020 until September 2023, and no notification was received from the tax authority examining those years.

c) Salary taxes

From commencement of operation till 31 December 2020, the Company's records were inspected and all taxes due were paid.

Years 2021 and 2022

applying of the Unified Tax Procedures Law No. 206 of 2020 by Law 211 of 2020, the company has prepared and submitted the 2021 and 2022 adjustment to the tax system on the legal date.

For the period from 1 January 2023 till 30 September 2023, the company withheld and paid the taxes due on monthly basis at the legal dates according to relevant tax law, the company paid the tax for September 2023.

d) Stamp duty taxes

For all years till 31 December 2015, stamp duty taxes have been inspected by the Tax Authority and paid by the Company.

Period from (1/1/2016 to 26/1/2022)

The company calculates the tax on advertisements and submit them regularly, and the calculated tax has been paid, in light of the provisions of Law No. 3 of 2022, issued on 26 January 2022 and published in the Official Gazette at number 33.

31 TAX SITUATION (CONT.)

Period from (27/1/2022 to 30/9/2023)
The company calculates the tax on gas consumption and the other bases in addition to the development fee, and the company pays the tax regularly based on the subject form

e) Withholding tax
From commencement of operation till 31 December 2015, the Company's records were inspected and all taxes due were paid.
The Company withholds tax on its transactions in accordance with tax law.

Real Estate tax
A decision was issued by the appeals committee regarding the real estate tax, the company was notified and objected it against the administrative court, the company settled the tax due regarding the decision of the appeals committee to avoid delay penalties, as well as the payment of the tax for the period until December 2021.

On August 30, 2022, Prime Minister Resolution No. 61 of 2022 was issued, which decided in its first article that the Ministry of Finance bears the full value of the "tax on constructed real estate" due on the constructed real estate used in the exercise of a number of activities, including the activity of food industries, starting from 1 January 2022 for a period of three years.

31-2 El Tatweer for Food Industries Company

a) Corporate taxes
From commencement of operation till 2019
The company submitted tax returns on the legal time, and all tax disputes were examined and settled.

Years from 2020-2022
The company submitted the tax return on the legal date, and there was no notification from the Investment Authority for major financiers (2) up to date of examination.

b) Sales taxes / Value added tax
The Company submitted the tax return for the period from commencement until September 2023 dates and no notification has been received from the Tax Authority for inspection to date.

c) Stamp Taxes
The years from the beginning of the activity until 31 December 2015, The period from 8 March 2009 to 31 December 2015 was assessed and the company appealed to the result of the examination

For the period from 1 January 2016 to 30 September 2023, no notification was received from tax authority regarding that period.

d) Salary taxes
Years from commencement of operation till December 2019
The company submitted tax settlements for examination, and all tax disputes were settled.

Years from 2020- 2022
applying of the Unified Tax Procedures Law No. 206 of 2020 by Law 211 of 2020, the company has prepared and submitted for the 2020 until 2022 adjustment to the tax system on the legal date.

Period from 1/1/2023 to 30/9/2023)
the company calculates the tax due on employees and workers. The company also makes payments under the wages and salaries tax account. The company has made a payment under the tax account calculated.

e) Withholding tax
The Company withholds tax on its transactions in accordance with the tax law.

32 RISK MANAGEMENT

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates, The Company is exposed to interest rate risk on its interest bearing liabilities, banks credit facilities and long term loans.

	30 September 2023 Change in interest rate	Effect on profit before TAX LE		30 September 2022 Change in interest rate	Effect on profit before TAX LE
Liabilities	**+1%**	**(12,199,951)**	Liabilities	+1%	(10,902,190)
	-1%	**12,199,951**		-1%	10,902,190

b) Foreign Currency Risk

The foreign currency risk is the risk that the value of the financial assets and liabilities and the related cash inflows and outflows in foreign currencies will fluctuate due to changes in foreign currency exchange rates. The total financial assets denominated in foreign currencies amount to LE 318,818,792 (31 December 2022: LE 168,033,342) whereas the total financial liabilities denominated in foreign currencies amounts to LE 43.186.293 (31 December 2022: LE 149,040,492).

c) Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.
The Company seeks to limit its credit risk with respect to banks by applying many control procedures include credit limits and only dealing with reputable banks.

The Company seeks to limit its credit risk with respect to customers by
- Setting credit limits for all customers according to an internal evaluation policy.
- Assessing the customer's credit status in accordance with tight credit limits.
- Follow up on current customer balances.

The company avoids credit risks by applying many supervisory measures, and the company's dealings are limited to highly credit-efficient financial institutions.

d) Liquidity risk

The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of loans and finance lease. The company uses credit limits and watches the loans due dates.

Financial Liabilities	**Less than 3 months**	**From 3 to 12 months**	**From 1 to 5 years**	**More than 5 years**	**Total**
30 September 2023					
Loans	**10,201,607**	**31,815,997**	**157,024,215**	**-**	**199,041,819**
Suppliers, accrued expenses and other payables	**491,898,998**	**-**	**-**	**-**	**491,898,998**
Income Tax payable	**120,414,070**	**-**	**-**	**-**	**120,414,070**
Notes Payable	**999,533**	**53,030**	**12,910**	**-**	**1,065,473**
Total financial liabilities	**623,514,208**	**31,869,027**	**157,037,125**	**-**	**812,420,360**

	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 December 2022					
Loans	6,864,140	21,665,503	130,598,717	-	159,128,360
Suppliers, accrued expenses and other payables	366,780,710	-	-	-	366,780,710
Sales tax payable on plant and equipment	190,924	-	-	-	190,924
Income Tax payable	96,961,473	-	-	-	96,961,473
Notes Payable	1,116,615	-	10,337	-	1,126,952
Total financial liabilities	471,913,862	21,665,503	130,609,054	-	624,188,419

e) Capital risk management

The company manages its capital to ensure that it will continue in sufficient level while maximising the return to the shareholders..The company manages its capital structure through the changes in the conditions of activity. There were no changes in the company's objectives and policies during the period.

33 FINANCIAL INSTRUMENTS FAIR VALUE

The Company's financial instruments are represented in financial assets and financial liabilities, The financial assets include cash on hands and banks, treasury bills, trade and notes receivables, due from related parties, and other receivables. The financial liabilities include trade and notes payables, term loans, short term credit facilities, machinery instalments, long term notes payable and other payables.

The significant accounting policies applied for the recognition and measurement of the above - mentioned financial assets and liabilities and the related income and expenses are included in note (2) of the notes to the financial statements.

Fair values of financial assets and liabilities shall not differ materially from their carrying amount unless otherwise specified.

34 PROPERTY, PLANT AND EQUIPMENT ADJUSTMENTS SURPLUS

	30 September 2023	31 December 2022
	LE	LE
Balance As of 1 January	**25,045,008**	32,540,057
DEDUCT		
Transferred to retained earnings from machinery adjustments surplus (Depreciation)	**(3,244,169)**	(4,661,098)
Transferred to retained earnings from vehicles adjustments surplus (Depreciation)	**(2,036,720)**	(2,726,482)
Transferred to retained earnings from vehicles adjustments surplus (Disposal)	**(30,014)**	(107,469)
	19,734,105	25,045,008

35 SIGNIFICANT EVENTS

On 2 November 2023, the Monetary Policy Committee of the Central Bank of Egypt decided to maintain the overnight deposit and lending rates and the Central Bank's main operation rate at the level of 19.25%, 20.25 and 19.75%, respectively. The credit and discount rates were also maintained at the level of 19.75%.

The exchange rates of the Egyptian pound against the dollar and some other currencies also declined, which resulted in losses in currency valuation differences amounting to EGP 2,991,091for the period ending on 30 September 30 as part of financing expenses.